Newmont Goldcorp Corp (NEM) — Research Summary

Basic Materials | Gold | 2026-11-05

Price: $119.71	**Signal:** BUY (7.56/10)	**Market:** correction

Equity Research Summary: Newmont Goldcorp Corp (NEM)

Sector: Basic Materials — Gold | **Price:** $119.71 | **Market Cap:** $122.7B

Aerondight Systems Signal: BUY (7.56/10)

---

1. Company Overview & Investment Thesis

Newmont is the world's largest gold producer, operating a diversified portfolio of mines across the Americas, Africa, and Australia. The company is interesting right now because it is converting elevated gold prices into exceptional cash flow, consistently beating earnings expectations, and returning capital to shareholders through buybacks and dividends — all while trading at a modest valuation.

2. Fundamental Snapshot

Valuation: NEM trades at a trailing P/E of 13.9 and a forward P/E of 11.5, inexpensive for a market-leading producer in a strong commodity environment. EV/EBITDA sits near 6.8x (EV $119.5B / EBITDA $17.6B), and price-to-free-cash-flow is attractive given $3.6B in quarterly free cash flow. These metrics screen as reasonable-to-cheap versus the broader gold mining peer group.

Earnings Trend: The standout story. Newmont has beaten estimates for four straight quarters — most recently Q3 2026 EPS of $2.20 vs. $1.94 expected (+13.4%), following beats of +2.4%, +33.6%, and +27.9%. Management has also raised full-year production guidance, a clear positive signal.

Revenue & Margins: Quarterly revenue of $6.4B rose 15.2% year-over-year on higher realized gold prices, though the trailing-12-month figure reflects some lumpiness. Margins are robust: 66.3% gross margin and 49.7% operating margin in Q3, with a 34.7% net profit margin — among the best in the sector.

Balance Sheet: Very healthy. With $8.8B cash against $5.5B total debt, Newmont holds a net cash position, and its D/E ratio of just 0.15 gives it significant financial flexibility.

3. Technical Outlook

At $119.71, NEM sits in the upper portion of its 52-week range ($80.58–$135.01), roughly 11% below its high and well above its low. The stock has delivered a powerful multi-year run (one article cites +223% over three years), and

© 2026 Aerondight Systems | AS-NEM-20261105 | For informational purposes only. Not investment advice.

recent price action reflects consolidation after strong gains rather than a breakdown.

- **Support:** Watch the $110–$115 zone, with deeper support toward prior consolidation levels.
- **Resistance:** The 52-week high near $135 aligns with the analyst price target — a breakout above this would signal renewed momentum.

Momentum appears firm but is pausing, consistent with a healthy correction within an uptrend.

4. News & Sentiment

Overall Sentiment: Slightly Bullish

Three key themes dominate recent coverage:

1. **Strong Q3 earnings and raised guidance** — the dominant narrative, with multiple outlets highlighting higher sales, lower costs, and upgraded production targets.

2. **Cash flow strength and value positioning** — NEM is repeatedly featured among "undervalued" and "high-margin" cash-flow stocks, positioned as a defensive alternative to crowded AI/tech names.

3. **Gold price dynamics** — the metal has cooled from first-quarter records but remains more than 20% above last year, keeping producer economics strong.

The balancing concern: management flagged potential 2027 cost pressures from inflation and reduced silver credits, and some commentators question whether the stock is now "fully valued" after its big run. The market narrative, on balance, frames Newmont as a quality, cash-generative value play in an uncertain macro backdrop.

5. Bottom Line

Aerondight Systems Signal: BUY (7.56/10)

Thesis: Newmont pairs best-in-class margins and a net-cash balance sheet with a cheap valuation and a four-quarter streak of earnings beats — a compelling combination in a favorable gold environment.

Key Catalyst: Q4 2026 results and 2027 production/cost guidance, which will test whether the company can sustain its free cash flow momentum and manage rising unit costs.

Risk Level: Medium — Fundamentals and balance sheet are strong, but earnings remain tied to volatile gold prices, and flagged cost inflation for 2027 could pressure margins.

For public distribution. Based on publicly available information. Not investment advice.

Generated by Aerondight Systems Quantitative Research Platform. This summary is for informational purposes only and does not constitute investment advice.